

IN THE DUBAI INTERNATIONAL ARBITRATION CENTRE

CASE NO: 240007

BETWEEN:

(1) PACIFIC REAL ESTATE DEVELOPMENT LLC
(2) AL TURFAH BUILDING CONTRACTING LLC,
(3) MR AYAD HASSAN ALI MOHAMED ALHABSHI

Claimants

and

(1) BALQIS RESIDENCE FZE
(2) IFA HOTELS & RESORTS FZE

Respondents

CLAIMANTS' PRE-HEARING WRITTEN SUBMISSIONS

I. INTRODUCTION

1. This dispute arises from the Respondents' termination of the parties' joint venture arrangement governing the development of a 300-key Yotel Resort on Palm Jumeirah (the "**Project**"), comprising the Earn-Out Agreement dated 24 February 2016 (the "**EOA**") and the Design and Build Contract dated 24 February 2016 (the "**DBC**"). Under the EOA, the Respondents contributed the land for the Project, while the Claimants undertook the design and construction obligations in consideration for a 50% share of the Project's profits.
2. The Project was, in substance and commercial reality, a collaborative development based on shared contributions and a mutual stake in its success. The Claimants were not engaged as a conventional contractor. Their role extended beyond design and construction to developing the Project concept, coordinating with consultants, and progressing the Project

to a stage capable of supporting regulatory approvals and financing, in return for their agreed participation under the EOA.

3. The termination was effected by the Respondents at a time when the Project was progressing, and the Claimants had already delivered a value-engineered architectural design and development package underpinning the Project. That design had been submitted by the Respondents to the relevant authorities and was pending approval. The grounds relied upon in the Notice to Correct and the subsequent termination notice were, in substance, not indicative of any material breach of the EOA capable of justifying termination.
4. In any construction and design-led project, it is normal for the parties and their consultants to engage in ongoing discussions, revisions, and differing views as the design develops. This is a standard part of the design development process. These exchanges were addressed by the Parties in the ordinary course of the Project up to December 2016, when the Claimants submitted their design to the Respondents, and did not give rise to any material or continuing breach by the Claimants.
5. The critical inflection point is December 2016. By that stage, the Claimants had completed and submitted a fully coordinated 300-key design, representing a substantial enhancement of the Project from its original 227-key concept. This was not a preliminary or conceptual design. It was a developed and coordinated package capable of being progressed for regulatory approvals and forming the basis for the next phase of the Project- mobilization, which the Claimants were prepared to commence. The Respondents treated the design as such, including by taking steps to advance it with the relevant authorities.
6. During this same period, the Respondents were facing material financial and commercial constraints, including issues relating to project financing and their arrangements with Standard Chartered Bank (“**SCB**”). These constraints impacted the Respondents’ ability to progress the Project and obtain approvals. The Claimants remained engaged and continued to support the Project during this time.
7. From December 2016 until the Notice to Correct dated 4 January 2018, and thereafter up to the purported termination on 17 January 2018, the Respondents raised no formal complaints alleging design non-compliance, deficiencies in consultants, or lack of funding capacity, notwithstanding the ongoing financial and approval-related challenges they were facing and the Respondents even sought the assignment of the rights under the EOA to SCB for additional financing.
8. There is no contemporaneous record of any notice identifying a material or subsisting breach during this period. On the contrary, the Respondents continued to rely on the

Claimants' work and allowed the Project to progress on that basis. This prolonged period of silence, for over thirteen (13) months, viewed against the Respondents' own financial and commercial constraints, is inconsistent with the existence of any genuine breach and goes to the core of the Claimants' case that the termination was not based on any default by the Claimants.

9. On the contrary, the Respondents continued to engage with and rely on the Claimants' work. They progressed the Project through third-party consultants, including Schuster Pechtold & Partners ("**SPP**"), and used the Claimants' design in further submissions to the authorities. The Claimants also remained involved in matters relating to financing and regulatory steps. This conduct shows that the Respondents accepted the Claimants' performance and continued to treat the DBC and the EOA as ongoing.
10. In this context, the Respondents' later reliance on alleged historic deficiencies is inconsistent with their own conduct at the time. Issues which were either resolved in the ordinary course or never raised are now being put forward as grounds for termination. This is not a genuine exercise of contractual rights, but an attempt to retrospectively justify the termination.
11. The Claimants' case is that the termination was not a genuine exercise of contractual rights, but a deliberate commercial decision taken after the Claimants had materially enhanced and de-risked the Project. Having obtained the benefit of the Claimants' design and development work, the Respondents sought to exclude the Claimants from their agreed economic participation under the EOA and proceed with the Project independently.
12. This is further supported by the Respondents' conduct after termination. They continued to use the Claimants' proprietary design through an alternative consultant National Engineering Bureau ("**NEB**"), without the Claimants' consent or any compensation. This conduct is inconsistent with any suggestion that the design was defective or incapable of use.
13. In these circumstances, the termination amounts to a wrongful repudiation of the EOA and the DBC, carried out without valid contractual basis and in bad faith. The Claimants therefore seek declaratory relief and damages, including compensation for loss of profit, unjust enrichment, and the unauthorised use of their design, as set out below.

II. CONVENTIONS AND REFERENCES

- a. This Pre-Hearing Submission is filed on behalf of the Claimants.
- b. Unless otherwise defined herein, capitalised terms shall have the meaning ascribed to them in the Design and Build Contract and the Earn-Out Agreement.
- c. References to documentary evidence are to the hearing bundle prepared for the evidentiary hearing. Documents are cited by reference to the bundle identifier (letter),

document number, and page range (e.g., “A1, p. 1”). References to a specific page within a document are cited as “p. A1-1”.

- d. References to legal authorities are cited in accordance with the authorities in the bundle, where applicable.
- e. Unless otherwise indicated, all dates refer to the Gregorian calendar, and all monetary amounts are stated in United Arab Emirates Dirhams (AED).
- f. The Claimants reserve the right to supplement, amend, or refine the submissions set out herein.

III. BRIEF PROCEDURAL HISTORY

- 1. On 23 January 2024, the Claimants commenced these arbitration proceedings by filing the Request for Arbitration (B1, p. 1–6).
- 2. The Respondents did not file a formal Answer to the Request for Arbitration. Instead, they submitted correspondence to DIAC regarding the submission of their Answer on 6 December 2024 (G1, p. 1–4).
- 3. The Dubai International Arbitration Centre (“**DIAC**”) transferred the case file to the Sole Arbitrator on 17 December 2024.
- 4. The proceedings were stayed by the Parties from January 2025 until May 2025 (G4 p.1 to G12, p.1)
- 5. On 14 May 2025, a Preliminary Meeting was convened before the Sole Arbitrator.
- 6. On 29 May 2025, the Tribunal issued Procedural Order No. 1, recording the minutes of the Preliminary Meeting and setting out the procedural timetable for the arbitration (A1, p. 1–16).
- 7. On 9 July 2025, the Claimants filed their Statement of Claim pursuant to Procedural Order No. 1 (B2, p. 1–55).
- 8. On 17 September 2025, the Respondents filed their Statement of Defence and Counterclaim (B3, p. 1–29).
- 9. On 7 January 2026, the Claimants filed their Reply and Defence to Counterclaim (B4, p. 1–25).
- 10. On 27 February 2026, the Claimants filed their Rejoinder (B6, p. 1–33).
- 11. On 10 March 2026, the Claimants filed an application for the issuance of witness summons of Mr James Palmer (B7, p. 1–13), to which the Respondents filed their reply on 18 March 2026 (B8, p. 1–7).
- 12. On 26 March 2026, the Tribunal issued Procedural Order No. 5, determining the Claimants’ application for the issuance of witness summons (A5, p. 1–8).
- 13. The matter has proceeded to the evidentiary hearing pursuant to the Tribunal’s directions set out in Procedural Order No. 4 dated 17 February 2026 (A4, p. 1–4) and as further amended by Procedural Order No. 6 dated 27 March 2026 (A6, p. 1–4).

IV. THE ISSUES & SUBMISSIONS

A. Issue 1: Whether the Respondents' jurisdictional challenge is admissible, and whether the Tribunal may consider DBC and IP-related facts where necessary to determine the Claimants' EOA claims?

The Claimants object to the jurisdiction challenge of the Respondents for the following reasons;

- a. **The Tribunal has Jurisdiction to Determine Its Own Jurisdiction:** The Tribunal is the proper decision-maker on its own jurisdiction. Under the principle of competence-competence, the Tribunal has the power to determine the scope of its jurisdiction, including whether it may consider DBC-related issues for the purpose of resolving the EOA claims. The Respondents' reliance on the DIAC Court's decision dated 26 June 2024 refusing consolidation is misplaced. That decision only meant that the EOA and DBC arbitrations would not be consolidated under Article 8.2 of the DIAC Rules. It was not a ruling that the DBC is irrelevant to this arbitration, nor was it a substantive bar on this Tribunal considering DBC-related facts. The decision was made at the administrative stage before the Tribunal was constituted and cannot replace the Tribunal's competence-competence power. The Claimants do not seek consolidation of the EOA and DBC claims. Their position is simply that the DBC termination is a necessary issue within the EOA dispute. The Tribunal has the competence to examine DBC-related facts to the extent necessary to determine the parties' EOA rights.
- b. **The Respondents' Approach Risks Duplication and Inconsistent Findings:** The Respondents' objection would create procedural unfairness and inefficiency. If the DBC termination issue is sent to a separate arbitration, the same witnesses, documents, project history, termination notices, and factual allegations would have to be examined twice. This creates a real risk of inconsistent findings. One tribunal may find the DBC termination valid, while another may find it invalid. Such findings would directly affect the parties' rights under the EOA. It also creates a risk that a finding in one arbitration may later be relied on as *res judicata*, issue estoppel, or a similar preclusive argument in the other arbitration. This could prevent this Tribunal from considering an issue that is essential to the EOA claims.
- c. **Withdrawal of Case No. 240008 and Separate Arbitration Clauses Do Not Bar Reliance on the DBC:** The Respondents' reliance on the withdrawal of DIAC Case No. 240008 is misplaced. The withdrawal only means that the Claimants are not presently pursuing a separate DBC arbitration. It does not prevent the Claimants from relying on the DBC as evidence in this arbitration, nor does it amount to an admission that the DBC termination was valid. The Claimants expressly stated that the DBC would be used as "proofs and evidences" in Case No. 240007. The Respondents were therefore on notice that the DBC remained part of the factual and evidential basis of the EOA claims. Nor

does the separate DBC arbitration clause decide the issue. The Claimants are not asking this Tribunal to determine stand-alone DBC claims or to sit as a DBC tribunal. The narrower question is whether the Tribunal may consider the DBC termination where it is necessary to decide the EOA dispute. The Respondents' approach would require the Tribunal to decide the EOA in a vacuum. That would be artificial and unjust. The sensible and legally correct course is for this Tribunal to determine the DBC termination issue to the extent necessary to resolve the EOA dispute.

- d. **Non-Identity of Parties Does Not Defeat Jurisdiction:** The Respondents' reliance on the non-identity of parties to the EOA and DBC does not answer the real issue. The Claimants do not seek to impose independent DBC liability on non-signatories. The Claimants rely on the DBC termination only because the Respondents have made it relevant to the EOA dispute. The Tribunal can consider DBC-related facts and make findings necessary to resolve the EOA claims, without granting independent relief under the DBC against non-parties. Also, the EOA makes PRED responsible for funding Al Turfah and ensuring performance of Turfah's DBC obligations. DBC performance is therefore an EOA issue to the extent necessary to determine PRED's rights and obligations under the EOA.
- e. **No Independent DBC Claim is Sought:** The Respondents argue in their Defence and Rejoinder that because the arbitration is brought under the EOA, this Tribunal cannot determine issues arising under the DBC. This creates a false premise. The Claimants are not asking the Tribunal to determine an independent, free-standing claim for damages under the DBC. The claim is brought strictly under the EOA. When the Claimants voluntarily withdrew the parallel DIAC Case No. 240008 (the DBC arbitration), they explicitly reserved their right to use the DBC "*as proofs and evidences*" within this EOA arbitration (see p. B6-6).
- f. **The EOA's Express Incorporation of the DBC Machinery:** The Tribunal has full jurisdiction to examine the DBC because the EOA itself expressly incorporates the DBC as the very foundation of its termination, valuation, deduction, and profit-sharing machinery. It is legally and factually impossible to adjudicate the EOA claims without determining the parties' conduct under the DBC for the following reasons:
 - i. **Definitions and Obligations:** EOA Clause 1.1 defines "Earned Value" entirely by reference to the "*Works executed in accordance with the Construction Contract*". EOA Clause 3.1 requires PRED to procure that Turfa "*fulfills all of its obligations under the Construction Contract,*" and EOA Clause 3.2 references the funding required to complete those specific works.
 - ii. **The Crucial Termination Mechanism (Clauses 3.4 and 3.6):** The Respondents' defence relies on EOA Clause 3.4. However, Clause 3.4 is strictly conditional; it is *only* engaged "*In the event that the Design and Build*

Contract is terminated following issue of a notice of termination by Balqis under Clause 15.2 of the DBC". The Tribunal has to therefore examine the DBC to determine whether that condition precedent, a valid termination under DBC Clause 15.2, was actually satisfied.

- iii. **The Consequence of Invalid DBC Termination:** If the Tribunal finds that the DBC termination was wrongful or invalid, then the case automatically falls under EOA Clause 3.6. Clause 3.6 explicitly governs the financial entitlements *"If the Design and Build Contract is terminated for any reason other than as provided in Clause 3.4"* (see p. B3-19). Determining which EOA valuation clause applies (Clause 3.4 or 3.5 vs. Clause 3.6 or 3.7) is purely an EOA question, which inherently requires the Tribunal to scrutinize the DBC termination trigger.
- iv. **The DBC Confirms the Unified Financial Analysis:** The DBC itself confirms that the financial and termination mechanisms of the two contracts are inextricably linked. The Respondents cannot sever them. Background F (Recitals E and F), Clause 14.1, and Clause 15.4(b) of the DBC all expressly route the payment consequences following a termination back into the EOA. Specifically, DBC Clause 15.4(b) dictates that if the valuation at termination yields a balance due to the Contractor, the Employer *"shall pay any balance (if any) to PRED in accordance with the provisions of clause 3.5 of the Earn-Out Agreement"*.
- g. **The Respondents Cannot Approbate and Reprobate:** The Respondents rely heavily on their alleged termination under DBC Clause 15.2 to shield themselves from liability and to limit the Claimants' entitlement under EOA Clause 3.4. (see p. B3-27). Their own counterclaim for AED 16.7 million is also expressly based on the post-termination recovery regime under DBC Clause 15.4(a). (see p.B3-27,28). The Respondents cannot rely on the DBC termination when it benefits them, while denying the Tribunal jurisdiction to examine whether that same termination was validly triggered. As reflected in the principle in *Suisse Atlantique v Rotterdamsche* [1966] 2 All ER (F1, p.1-36), a party cannot approbate and reprobate by taking the benefit of a contractual position while rejecting the consequences that follow from it. By invoking DBC Clause 15.2 as the basis for EOA Clause 3.4, the Respondents have placed the validity of the DBC termination directly before this Tribunal.
- h. **The Tribunal may also consider IP-related facts:** The Claimants submit that the Tribunal may consider facts relating to the use of the Claimants' design following termination. The Claimants do not advance a separate intellectual property claim; however, such facts are relevant to the assessment of the Respondents' conduct,

including issues of bad faith, wrongful exclusion, causation, quantum, and the valuation of the Claimants' entitlement under the EOA.

- i. The Claimants further submit that the Respondents' objection is selective and internally inconsistent. The Respondents rely on alleged breaches, termination, and financial consequences under the DBC in support of their defence to the EOA claim, while seeking to preclude the Claimants from relying on the same contractual framework. The Claimants submit that such a position should not be sustained.

B. Issue 2: Whether the arrangement between the Parties constituted a joint venture/co-development or a traditional employer–contractor relationship, and whether the Memorandum of Understanding dated 22 October 2015 (the “MOU”) (D44, p. 1-85), the DBC, and the EOA form an integrated contractual framework?

1. The Claimants' case is that the Parties' commercial and contractual arrangement was always intended to operate, and did in substance operate, as a 50:50 joint venture or co-development structure. In particular, the Claimants' remuneration was contingent upon the success of the Project pursuant to the EOA, with no guaranteed fee entitlement under the DBC.
2. The Claimants submit that this allocation of risk and reward is consistent with a co-development model, in which both Parties' economic interests were aligned with the success of the Project. The Claimants further submit that the MOU (D44, p. 1–85), the DBC (E3, p.1-94), and the EOA (D5, p.1-9) are to be construed together as part of a single, integrated contractual framework, rather than as discrete and independent agreements.
 - a. **MOU dated 22 October 2015:** The Claimants rely on the MOU (D44, p. 1–85), which describes a 50:50 joint venture structure under which the Respondents were to contribute the land and the Claimants were to undertake responsibility for the design, development, and construction of the Project (see p. D44-3)
 - b. **EOA dated 24 February 2016:** The Claimants rely on the EOA (D5, p.1-9), which records the Parties' respective contributions and economic interests. In particular, Clause 2.1(a) attributes a value of AED 150 million to the land, while Clause 2.1(b) attributes an equivalent value of AED 150 million to the Claimants' development and construction works (see p. D5-3). Further, Clause 4.3 provides for the Claimants to receive 50% of the Project proceeds (see p. D5-6).
 - c. **DBC dated 24 February 2016:** The DBC was executed concurrently with the EOA. Recital E (see p. E3-3) and Clause 14.1(a) of the DBC expressly state that Al Turfah "shall not be entitled to any payment or remuneration of any kind" under the DBC, and that the EOA shall apply for all calculations and distributions of payments (see p. E3-75). The Claimants submit that this framework indicates that the DBC cannot be read in isolation from the EOA;

one governs the operational execution, while the other governs the exclusive financial consideration for that execution.

3. In late 2015, following the delays in the development of the Project under previous consultants and/or contractors engaged by the Respondents, they approached the Claimants. The Claimants presented technical solutions to optimize the Project to a 300+ key configuration without increasing the gross floor area (see p. E6-1). On 22 October 2015, the Parties signed the MOU, setting out the Parties' commercial understanding for a 50:50 joint development structure.
4. On 24 February 2016, the parties executed the DBC and the EOA. The Claimants submit that these agreements formalised the Parties' respective contributions and economic interests, including an attributed value of AED 150 million for the land and AED 150 million for the Claimants' development and construction works, and linked the Claimants' remuneration to the profit-sharing mechanism under the EOA (D5, p. 3–4).
5. The Claimants further rely on the witness evidence of Mr Ayad Alhabshi (C1, p. 1-14), who confirms that the agreements reflected a 50% stakeholder position. The Claimants contend that, had the allocation of units been registered, this would have been reflected through allocations in the off-plan register (Oqood) and a corresponding share in the Project's sale proceeds (see p. C1-3).
6. The Respondents contend that the MOU was non-binding and that its "joint venture" reference terminology does not determine the nature of the Parties' legal relationship (B3, p. 1-28; see p.B3-6). They argue that the Claimants were merely engaged as a "design-and-build contractor receiving a performance-based earn-out, not as an equity partner," emphasizing that the title to the plots remained with Balqis (see p. B3-6).
7. The Claimants rely on Articles 52 and 53 of the DIFC Contract Law, which require that a contract be interpreted by reference to the agreement as a whole and in a manner that gives effect to all of its provisions. This approach was applied by the DIFC Court of Appeal in *DAMAC Park Towers Company Limited v Youssef Issa Ward* [2015] DIFC CA 006 (F13, p. 1-23), where the Court emphasised that contractual provisions must be read together as part of a coherent framework.
8. The Claimants further rely on the "unitary exercise" of contractual interpretation articulated by the UK Supreme Court in *Wood v Capita Insurance Services Ltd* [2017] UKSC 24 (F14, p. 1-12), which requires an iterative assessment of the contractual language, the overall structure of the agreement, and the commercial consequences of competing interpretations.

9. Applying these principles, the Respondents' attempt to characterise the Claimants as a conventional contractor is inconsistent with the contractual framework. In particular, Clause 14.1(a) of the DBC (see p. E3-75) provides that the Claimants are not entitled to payment for the works, while Clause 2.1(b) of the EOA (see p. D5-3) attributes a value of AED 150 million to the Claimants' development and construction obligations. The Claimants further rely on *Arnold v Britton* [2015] UKSC 3 (F12, p.1-49), which affirms that clear contractual language must be given its natural meaning even if the outcome appears commercially unfavourable, thereby precluding the Respondents from recharacterising the express profit-sharing structure as a mere contractor arrangement. The Claimants submit that this allocation of risk and reward is more consistent with an integrated co-development structure, in which the Claimants' consideration is linked to the Project's potential upside, rather than a traditional fee-based contractor model.

C. Issue 3: Whether the Claimants duly performed their design and development obligations and delivered a viable project scheme, and whether the Respondents, by their conduct, affirmed such performance?

a. Whether the Claimants performed their design and development obligations competently and delivered a viable and enhanced project scheme.

1. The Claimants submit that, between 2015 and late 2016, they inherited a stalled 227-key project and undertook substantial design optimisation through value engineering. In particular, the Claimants developed a revised scheme accommodating over 300 keys without exceeding the approved Gross Floor Area.
2. Under the DBC, the Claimants were required to develop design documentation that complied with the Employer's Requirements and local authority regulations. However, these obligations were reciprocal and relational. Progressing the preliminary design to final approval required the Respondents to act in good faith. This included, inter alia, approval of the consultant change to Al Anfal Engineering Consultants ("AAEC") at Nakheel and part payment of the setback fees (as agreed with the Claimants) (E122, p.1-2) to Nakheel which was necessary to progress the design to final approval.
3. The Claimants applied over 30 years of development expertise to resolve the inherited design flaws. As detailed in the Claimants' contemporaneous project updates, they successfully optimized the scheme by eliminating space-wasting corridors, introducing a double-volume skylight main lobby, incorporating three panoramic elevators, harnessing AAC blocks for heat insulation/weight reduction, and adding four fire egress staircases in strict compliance with Dubai Civil Defence ("DCD") and Department of Tourism and Commerce Marketing ("DTCM") 4-star criteria (see p. E79-2), (see p. E79-3), (see p. E154-16).

4. It is the Respondents' position that the design was unfeasible.
5. The Claimants rely on the Joint Expert Report of the architectural experts (D144, p.1-20), which addresses the alleged deficiencies identified by the Respondents. In particular:
 1. **Port cochere width/clearance:** Experts agreed this "would have been a simple amendment" and "straightforward to adjust" (see p. D144-15).
 2. **IT Closets & Fire Control Room:** Experts agreed these "could easily be included" or "would have been a simple amendment" requiring basic coordination (see p. D144-15).
 3. **Nakheel Setbacks:** The experts agreed the setback issues "could have been resolved through an additional payment to Nakheel" or a "simple correction" (see p. D144-16).
 4. **Stage of design development:** Mr. Phillips admitted that "in terms of the architecture component alone this was well developed at D&B Stage 1 (RIBA Stage 2) - approximately 67% complete" and further acknowledged that work on the advanced D&B Stage 2 (RIBA Stage 3) was already "approximately 23% complete" (see p. D144-19).
 5. Mr. Austen Smith in his first expert report, explicitly endorsed the viability of the design, concluding that the alleged non-compliances were not fundamental defects. He stated that because the project brief required fewer rooms than the maximum shown in the PRED design, "these non-compliances could have been overcome without major redesign work" (D1, p.74).
- b. **Whether the Claimants' design materially improved the Project's commercial value through value engineering**
 1. The Claimants submit that the commercial framework under the EOA was premised on maximising the value of the Project, with the Claimants' remuneration linked to the Project's overall performance and "Earned Value".
 2. The Claimants further submit that, by increasing the revenue-generating unit count without increasing the approved Gross Floor Area, they enhanced the Project's commercial viability and aligned with the Parties' shared objective of maximising returns.
 3. The Joint Expert Report on Architecture (D144, p.1-20), explicitly identifies and agrees upon several key value-engineering enhancements introduced by the Claimants' AAEC design:
 - a. **Combinable VIP Suites (yield flexibility):** The experts agree (see p. D144-6) that the Claimants' design introduced "end of corridor doors, which allow the size

of the VIP suites to be increased by including the opposite Premium room as part of the suite". This specific architectural solution allowed a premium and VIP suite to be combined into one larger suite, offering significant commercial and booking flexibility.

- b. **Enhanced External Spaces:** The experts agree (see p. D144-6) that the Claimants' design successfully introduced "stepped terraces". This optimization provided highly valuable "increased external space for the VIP suites", directly increasing the premium nature and saleability of the units.
 - c. **Elimination of Dark Corridors:** The experts record that the Claimants' design provided "naturally lit wing corridors" by introducing glazing at the end of the corridors. This eliminated the dark, area-wasting corridors of the legacy design (see p. D144-6).
 - d. **Significant Design Progress:** Rather than being a mere "unfeasible concept," the Respondents' own expert, Mr. Phillips, conceded on page D144-19 that the Claimants' architecture component was "well developed at D&B Stage 1 (RIBA Stage 2) - approximately 67% complete" and had already progressed into Stage 3 Detailed Design.
4. The Claimants further rely on contemporaneous project design materials, which indicate that the design incorporated features such as three panoramic elevators, a double-volume atrium, and the use of AAC blocks to reduce structural load on the existing basement. The Claimants submit that these features contributed to enhancing the Project's commercial value.
- c. **Whether the Respondents, by their conduct, affirmed the Claimants' performance and accepted the design as fit for purpose? Whether the Respondents are estopped from alleging defects in the design after having used and relied upon it for regulatory submissions?**
 - 1. The Claimants submit that the Respondents' conduct demonstrates acceptance of the design and affirmation of the Claimants' performance, and that the Respondents are accordingly precluded from subsequently alleging that the design was defective.
 - 2. **Explicit Affirmation of the Final Design in Dec 2016:** Following the Claimants' submission of the coordinated 300-key design package on 21 December 2016 (D147, p. 22), the Respondents did not reject the design. Instead, contemporaneous correspondence records positive acknowledgment of the work and its progress (D88, p. 5; C3, p. 6).

3. **Admission of fitness of design and IP Ownership by the Claimant (February 2017):** To appease the Claimants' frustration over being sidelined, Mr. Numan M. Numan of IFA wrote a formal letter on 22 February 2017 confirming that the upcoming 300-key submission to Nakheel was being made "strictly on the basis that the copyright to the drawings belongs to PRED" (D1, p.1-11; see p. D88-4).
4. **Use of the AAEC design for SPP submission (March 2017):** The Claimants submit that the Respondents proceeded to submit the AAEC design to Nakheel through SPP. Despite alleging the design was a "defective concept," the Respondents lodged it with Nakheel. On 7 March 2017, Mr. James Palmer of the Respondent (IFA) confirmed via email that the "Plan is being lodged today with Nakheel" (E126, p. 3). When the Claimants protested the use of SPP's name instead of their own consultant, Mr. Palmer bluntly replied, "Understood, but what is done is done" (D88, p. 5).
5. **Expert Confirmation of Copying the Design by the Respondent:** The Claimant's Architectural Expert, categorically concluded: "I consider the SPP April 2017 design, submitted to Nakheel in March 2017, to be entirely the same design produced by Al Anfal on behalf PRED in December 2016" (D73, p. 20). The Joint Expert Report agrees that the SPP 2017 design is essentially the AAEC design albeit with minor differences (page D144-5).
6. **Appropriation for the NEB Submission (November 2018):** Following the wrongful termination, the Respondents engaged a new consultant, NEB, to submit the design to Nakheel. As confirmed by the Claimant's Architectural Expert, the NEB submission retained an 80% similarity in planning and configuration to the Claimants' original design (D1, p. 63). The Joint Expert Report explicitly agrees that the NEB design repeated the Claimants' highly specific value engineering features, such as "end of corridor doors" to combine VIP suites and "stepped terraces" (D144, p. 6).
7. The Claimants would like to submit that, applying the principles from *URE Energy Ltd v Notting Hill Genesis* [2024] EWHC 2537 (Comm), a party who, with knowledge of an alleged breach, acts in a manner consistent only with the continuation of the contract, is deemed to have affirmed the contract and waived the right to terminate on those grounds (F21, p.1-97). This position is further supported by *SK Shipping Europe plc v Capital VLCC 3 Corp* [2020] EWHC 3448 (Comm) (F17, p.1-112), where the Court held that continued performance and cooperation despite alleged defects constitutes affirmation by conduct, thereby precluding reliance on such matters as grounds for subsequent termination. In Para 205 the court held that 'delay in exercising a right to terminate a contract for repudiatory breach will, to a degree, have a self-correcting

quality. Any termination will take effect only from the moment of eventual acceptance, with the contract remaining in force up to that point. In addition, keeping the contract alive during the period of delay is not a “one way bet” for the innocent party’. The Respondents’ pattern of conduct, accepting the 300-key optimization and utilizing the drawings in 2017 and 2018 constitutes clear affirmation.

8. Under *Tinkler v HMRC UKSC 39*, where parties have acted on an assumed state of facts or law, they are estopped from departing from it if it would be unjust or unconscionable [2021] UKSC 39 (F19, p.1-35). By repeatedly utilizing the Claimants’ design for official submissions while maintaining the copyright belonged to the Claimants, the Respondents established a convention that the design was viable.

D. Issue 4: Whether the Respondents’ termination of the Design and Build Contract (DBC) and the Earn-Out Agreement (EOA) on 17 January 2018 was valid, or whether it was a wrongful, procedurally defective repudiation driven by the Respondents’ ulterior market motives rather than any genuine default by the Claimants?

1. **The termination was a bad-faith repudiation without legal or factual basis:** The Respondents provided an insufficient cure period, fabricated complaints about funding and consultants despite the Claimants possessing AED 41 million in liquidity and sharing consultant lists and opportunistically seized the Claimants’ finalized design to capitalize on market shifts. The details are as follows;
2. **No sufficient cure period was given to the Claimants:** The Respondents’ termination was procedurally invalid. The Notice to Correct was issued abruptly on 4 January 2018 (see p. E127-1). It demanded the resolution of highly complex, multi-disciplinary design and financing issues within a mere 7 days. This was not a genuine opportunity to cure but a commercially impossible timeline designed to manufacture a termination event and the Notice of Termination was subsequently issued on 17 January 2018 (see p. E131-1).
3. **Reliance on Stale Complaints and Affirmation by Conduct:** The Notice to Correct relied heavily on complaints from a “warning letter” dated 28 June 2016, a communication that was over 18 months old at the time of termination (see p. B2-26). In the intervening 18 months, the Claimants had submitted a fully coordinated design package in December 2016 (see p. D147-22), and the Respondents had continuously requested design iterations, utilized the 300-key design for Nakheel submissions via SPP in March 2017 (see p. D73-20) and expressly confirmed the parties were “working in the right step” (see p. E94-1). Under DIFC Contract Law and common law principles of waiver by election, the Respondents’ 18-month course of dealing constitutes a classic affirmation of the contract. In *Hexagon Holdings (Cayman) Limited v (1) Dubai International Financial Centre Authority (2) Dubai International Financial Centre Investments LLC* [2019] DIFC CFI 013 (F16, p.1-17), it was held that delay-based breaches do

not constitute fundamental non-performance absent clear contractual stipulation, and that prolonged conduct affirming the contract extinguishes any right to terminate.

4. **Respondents' Self-Induced Delay:** The Respondents cannot legally terminate the contract for delays or non-performance that they themselves caused. As highlighted by the Quantum and Delay Expert, it was the "Respondents' silence" and deliberate obstruction that stalled the project for 333 days after the design was submitted in December 2016 (see p. D147-22). This obstruction included refusing to pay their 50% share of the AED 241,000 Nakheel setback fee, blocking the registration of the Claimants' consultant, AAEC with Nakheel, and insisting on submissions of design to Nakheel via SPP for their own banking requirements. Under Article 78 of the DIFC Contract Law, a party may not rely on the non-performance of the other party to the extent that such non-performance was caused by its own acts or omissions.
5. **Sufficient funds were with the Claimants:** The Respondents' allegation that the Claimants lacked financial capacity is factually false. The Claimants explicitly demonstrated that they had earmarked AED 41 million in liquid funds across their accounts, which was more than sufficient to cover Phase 1 mobilization and early construction costs (see p. C3-4). The EOA merely required "access to sufficient funding" to enable phased performance; it did not require the Claimants to freeze AED 150 million in cash at the preliminary design stage. The Claimants' financial readiness had been presented to the Respondents since the outset, and the Respondents never issued a contemporaneous objection to this funding structure prior to the abrupt Notice to Correct on 4 January 2018.
6. **The design was ready and actively utilised by the Respondents:** The Respondents' claim that the design was "defective" or "unfeasible" is completely contradicted by their own conduct. The Claimants submitted a fully coordinated 300-key design package by 21 December 2016. Far from rejecting it, the Respondents actively appropriated it as stated in the foregoing paragraphs.
7. **Consultant approvals were premature due to Respondents' Preliminary Design Approval ("PDA") obstruction:** The Respondents falsely allege that the Claimants failed to engage approved consultants and that the proposed consultants did not have the requisite registrations. At the preliminary design stage, the only consultant required was the lead architect, AAEC, who was formally appointed by the Respondents themselves on 12 April 2016 (see p. C3-9). The onboarding of further execution-stage consultants was entirely dependent on achieving PDA from Nakheel.

The PDA was never achieved because the Respondents actively obstructed it by refusing to register AAEC with Nakheel and refusing to pay their agreed 50% share of the AED 241,000 setback fee (see p. B2-13, p. C3-5, p. D147-22). Because the PDA was blocked by the Respondents, the formal engagement of downstream consultants did not yet come into play.

Nevertheless, Mr. Ayad Alhabshi proactively shared a comprehensive list of prominent Dubai-based subcontractors and suppliers with the Respondents to demonstrate readiness (p. B2-31, p. C3-10, p. B4-15) to complete the works of the Project despite the PDA was pending.

8. **Dubai Real Estate Market reasons:** The termination was driven by shifting market dynamics and the Respondents' own commercial opportunism, not the Claimants' performance.
 - a. **Market Downturn & Repositioning:** As acknowledged by IFA's Chairman, Mr. Esbaitah, the Palm Jumeirah property market experienced a severe downturn, causing the Respondents to lose commitment to the Yotel brand (from which they were actively divesting) (see p. C4-8).
 - b. **The Omniyat Sale:** The ultimate proof of this commercial motive is that in 2022, the Respondents delineated the plot, partnered with Omniyat, and sold the underlying land. The land value escalated from the AED 150 million agreed in the contracts to AED 320 million, driving the total project value to AED 1.7 billion (see p. E154-13). The Claimants submit that the termination formed part of a calculated course of conduct intended to remove the Claimants from the Project, thereby enabling the Respondents to pursue an alternative commercial opportunity exclusively for their own benefit (see p. C4-9).

E. Issue 5: Whether the Respondents' concealment of the Standard Chartered Bank (SCB) mortgage amounted to misrepresentation and bad faith?

1. The Claimants rely on copies of the Project title deeds provided by the Respondents, which were marked "Not Mortgaged" (E162, p. 1). The Claimants submit that this gave rise to a representation, whether express or implied, that the Project land was free from material encumbrances.
2. The Claimants submit that this representation was material to their entry into, and continued performance under, the contractual arrangements. In particular, the unencumbered status of the land formed part of the commercial foundation of the Parties' arrangement, including the Claimants' anticipated profit share and expected allocation of units. Applying *SK Shipping Europe plc v Capital VLCC 3 Corp* [2020] EWHC 3448 (Comm) (F17, p.1-112), a misrepresentation must relate to a distinct statement of fact; the Respondents' representation that the property was "not mortgaged" constitutes such a factual misstatement.
3. The true position was that the Project land was subject to a substantial SCB facility. The Claimants' case is that SCB was, in practical terms, a concealed financial stakeholder in the Project, without proper disclosure to the Claimants (see p. B2-23).

4. The Claimants submit that the existence of such encumbrances was not a peripheral matter, but one that affected the value, risk profile, and commercial viability of the Project, as well as the practical realisation of the Claimants' contractual entitlements. The Respondents' conduct became more serious when they procured and relied upon the Claimants' consent letter dated 22 February 2017 (see p. D11-1) in connection with SCB-related documentation.
5. The Claimants' case is that this consent was obtained without full disclosure of:
 - a. the existing extent of the SCB financing arrangements ;
 - b. the scale of the facilities being sustained or increased;
 - c. the effect of the SCB security on the Claimants' rights; and
 - d. the risk and potential impact to the Claimants' expected Oqood unit allocations and profit entitlement.
6. The financial evidence supports the Claimants' case that the Respondents used the Claimants' involvement to strengthen their borrowing position.
7. By entering into the EOA, the Respondents were able to present a projected future cash inflow of approximately AED 300 million, without immediate capital outlay by the Respondents. This improved their financing narrative with SCB and Al Reem Finance.
8. The 22 February 2017 consent letter was then used to support the assignment of rights connected with the EOA to SCB. The Claimants' case is that they signed it on the assurance that it was necessary to prevent SCB from obstructing the Project, not because they were knowingly agreeing to subordinate their commercial rights to the Respondents' secured debt.
9. Mr. Saxena's quantum evidence supports this conclusion. He refers to IFA's 2018 Annual Report, which records that the AED 210 million SCB facility received repayment extensions, moving maturity from 5 April 2016 to 31 March 2020 (see p. D-85-27). He concludes that the timing of the EOA and the Claimants' consent strongly indicates that the enhanced financial profile helped sustain the SCB facility.
10. The evidence also supports the Claimants' case that the benefit of the sustained or increased financing was not applied to progress the Yotel Project. Instead, the Respondents used the facility to meet liabilities connected with Dubai Contracting Company LLC and to complete the adjacent Balqis Residence project. No meaningful part of those funds was applied to the non-delineated Yotel Project.

F. Issue 6: Are the Claimants entitled to expectation damages (lost profits) for the Respondents' wrongful termination of the Agreements, and restitution for unjust enrichment

for the Respondents' subsequent misappropriation of the Claimants' design contributions and commercial financial standing?

1. **Claimants' Lost Profit - The AED 150 Million Valuation** : The Claimants' Quantum Expert, values the lost profit claim under the EOA at exactly AED 150 million (see p. D147-13). This represents the full profit the Claimants would have earned had the Earn-Out mechanism been allowed to run its course. This valuation is not a speculative figure, but rather a robust contractual and legal entitlement anchored in the following grounds:
 - a. **Contractual Basis and Joint Venture Structure**: As pleaded in the SOC, the commercial reality of the EOA was a 50:50 joint venture where the Respondents contributed the land and existing works (valued at AED 150 million) and the Claimants undertook full responsibility for design and development (also valued at AED 150 million) (see p. B2-10). The AED 150 million claim directly mirrors this bargained-for, 50% economic interest in the uplifted project value (see p. B2-49).
 - b. **No Requirement for Complex Financial Modelling**: The Respondents' expert (Dr. Malas) attacks this figure of AED 150 million, arguing it lacks a "Discounted Cash Flow Model, feasibility study, or probability analysis" (see p. D147-12). The Claimants' expert rebuts this, clarifying that his assessment of AED 150 million does not require any external financial model or probability assessment because it is firmly based on the express valuation provisions hard-coded into the EOA itself (D147, p. 12-13).
 - c. **Operation of the Prevention Principle**: The Respondents contend that the Claimants are not entitled to this profit because the hotel was never completed and sold (see p. B3-26). This defence fails as a matter of law. As the Claimants' expert concludes, because the Respondents unlawfully terminated the agreement and actively obstructed the Claimants from performing (by blocking Nakheel approvals and consultant registration), the restrictive termination mechanisms of EOA Clauses 3.6 and 3.7 do not apply (see p. D147-12). The Claimants are legally treated as having achieved the contractual milestones that would have been completed but for the Respondents' obstruction (B4-22). Applying the Supreme Court's ruling in *King Crude Carriers SA v Ridgebury Tankers Ltd* [2024] UKSC 3 (F24, p.1-39) a party cannot benefit from its own breach; thus, the Respondents cannot rely on their own breach to deny the full earn-out to the Claimants.
 - d. **A Genuine Pre-Estimate of Loss**: The contractual formula reflects the agreed economic value of the Claimants' development contribution over the life of the Project. It is a valid commercial allocation of risk, not a penalty. As recognised in *URE Energy Ltd v Notting Hill Genesis* [2024] EWHC 2537 (Comm) (F21, p. 1-97), where commercial parties agree a forward-looking percentage-based formula in a long-term,

capital-intensive project, the court will generally respect that bargain as a genuine pre-estimate of loss.

- e. **Foreseeability of Harm:** Finally, the loss of the AED 150 million earn-out satisfies the test for remoteness and foreseeability established in *Amira C Foods International v IDBI Bank Limited DMCC* DIFC CFI 027 (F15, p.12). The loss of this exact profit share was plainly foreseeable at the time of contracting as the direct and not unlikely consequence of wrongfully repudiating a 50:50 joint venture structure designed specifically to yield this return (see p. B5-9). The Claimants further rely on *Soteria Insurance Ltd v IBM United Kingdom Ltd* [2022] EWCA Civ 440 (F20, p. 1-35), in which the Court of Appeal held that 'Moreover if the victim of a breach of contract has spent money in anticipation that the contract would be performed, then his or her loss is easy to ascertain: there will be invoices, contracts, receipts and the like. This type of loss is the opposite of speculative: it is precisely ascertainable. It is a pure accounting exercise. Perhaps for that reason, such claims are not usually regarded as claims for consequential loss'. In the present case, the Claimants' entitlement to a 50% share of project profits under the EOA represents the very substance of the bargain and is therefore fully recoverable.

- 2. **The Unjust Enrichment by Respondents - AED 37.8 Million Valuation:** The Claimants' Quantum Expert, assesses the unjust enrichment derived by the Respondents at exactly AED 37.8 million (see p. D147-15). Far from being an arbitrary figure, this valuation represents a conservative, forensic quantification of the financial advantages the Respondents unlawfully secured at the Claimants' expense. This AED 37.8 million figure is grounded in the following factual and economic realities:

- a. **Enhancement of Borrowing Profile:** The core of the unjust enrichment lies in how the Respondents leveraged the Claimants' contractual standing to sustain their own heavily burdened debt facilities. By executing the Earn-Out Agreement (EOA), the Respondents were able to project to their lenders a guaranteed, substantial future cash inflow of approximately AED 300 million to the project, crucially requiring zero immediate capital outlay from the Respondents themselves.
- b. **Securing the SCB Loan Extensions:** The tangible benefit of this enhanced financial profile is definitively proven by the Respondents' own financial disclosures. Mr. Saxena's analysis highlights that the IFA Annual Report 2018 (D90, p. 54-55) confirms the Respondents utilized the EOA to negotiate repayment extensions on an existing AED 210 million loan facility with Standard Chartered Bank (SCB) (see p. D147-15). The maturity date of this massive facility was pushed from its original date of 5 April 2016 all the way to 31 March 2020.

- c. **The 22 February 2017 Consent Letter:** To secure these extensions, the Respondents coerced Mr. Ayad Alhabshi into signing a letter of consent on 22 February 2017, explicitly assigning the Claimants' rights under the EOA to SCB (see p. D147-15). The timing of this assignment perfectly aligns with the Respondents successfully sustaining the loan facility.
 - d. As pleaded in the Statement of Reply and Defence to Counterclaim, the AED 37.8 million calculation is a conservative assessment formulated by the Quantum Expert based on the Respondents avoided borrowing costs, the deployment of capital, and industry-standard returns on the financial position that the Claimants facilitated (see p. B4-24).
 - e. The Respondents' quantum experts (Mr. Thorpe and Dr. Malas) assess this unjust enrichment at nil, arguing there is "no causal link" because the Claimants provided no direct capital or cash funds to the Respondents, and because the drawings were supposedly "unfit for purpose" (see p. D147-16). The Claimants submit that this defence is commercially not viable. The Respondents did not need cash from the Claimants; they needed the Claimants' 300-key value-engineered design and the executed EOA framework to serve as collateral to appease their lenders (page B4-21). By utilizing the Claimants' intellectual property and commercial consent to successfully restructure AED 210 million in third-party debt, the Respondents gained a massive, quantifiable financial advantage. Having opportunistically terminated the contract after securing this financial lifeline, the Respondents must be stripped of this AED 37.8 million unjust benefit (see page D147-15), (see page B4-24). This position was further affirmed in the case of *Suisse Atlantique v Rotterdamsche* 1966 2 All ER (F1, 1-36) where in the court was of the view that 'you must either affirm the whole contract or rescind the whole contract, you can approbate or disprobate by affirming part of it and disaffirming the rest'.
 - f. This enrichment arises directly from the Respondents leveraging the Claimants' position under the EOA to enhance their borrowing profile. Specifically, the IFA Annual Report 2018 demonstrates that the Respondents utilized the Claimants' 22 February 2017 consent to assign the EOA to SCB. This directly contributed to sustaining and securing repayment extensions on an AED 210 million loan facility until March 2020 (see p. D147-16).
3. **Misappropriation of Intellectual Property:** The Respondents further enriched themselves by unlawfully retaining the Claimants' 300-key architectural design submissions, technical documentation, and regulatory strategies, utilizing them post-termination without compensation (B2, p. 49-51). In *Boardman and another v Phipps* [1966] 3 All ER 721 (F2, 1-42), it was established that a fiduciary must account for profits derived from the use of information obtained

in that capacity, irrespective of good faith. Similarly, in *Industrial Development Consultants Ltd v Cooley* [1972] 2 All ER 162 (F3, p.1-15), the Court held that a party cannot appropriate for itself a commercial opportunity arising from its fiduciary position and must account for all resulting profits.

4. Under Article 9 and 10 of the DIFC Law of Damages and Remedies (Law No. 7 of 2005), an aggrieved party is entitled to full compensation for the loss sustained, including any gain of which it was deprived (F15, p. 2). Applying the common law principles from *Surrey County Council v Bredero Homes Ltd* [1993] 3 All ER 705, the object of expectation damages is to place the aggrieved party in the same financial position as if the contract had been fully performed (F4, p. 10). Notwithstanding the compensatory nature of damages, the House of Lords in *Attorney General v Blake* [2000] 4 All ER 385 (F5, p. 1-27) held that 'When, exceptionally, a just response to a breach of contract so requires the court should be able to grant the discretionary remedy of requiring a defendant to account to the plaintiff for the benefits he has received from his breach of contract'.
5. Restitution is available under DIFC Law where one party is enriched at the expense of another without a valid juristic basis (e.g., following a wrongful termination). The DIFC Court of Appeal in *DAMAC Park Towers Company Limited v Youssef Issa Ward* [2015] DIFC CA 006 confirmed that an "unjust factor" vitiating the retention of a benefit triggers the obligation to make restitution (see p. F13-21), (see p. B5-10).

G. Issue 6: Did the Respondents misappropriate the Claimants' Intellectual Property (IP) in breach of express written agreements and the DIFC Intellectual Property Law?

1. **The 22 February 2017 Letter** (E109, p.1): To secure the Claimants' consent to assign the Earn-Out Agreement for banking purposes, Mr. Numan M. Numan (Director of Balqis) issued a formal letter explicitly confirming that the impending submission of the 300-key design to Nakheel was being made "strictly on the basis that the copyright to the drawings belongs to PRED" (E109, p.1)
2. **The Unauthorized Submission of the Design by the Respondents:** Despite this explicit agreement, on 7 March 2017, the Respondents' Mr. James Palmer informed the Claimants that the plan was being lodged with Nakheel under SPP's name. When Mr. Ayad vehemently protested this theft of his consultant's (Al Anfal) attribution, Mr. Palmer callously replied, "what is done is done" (D12, p.1)
3. **Expert Confirmation of copying of the Design by the Respondents:** The Claimants' Architectural Expert, meticulously compared the Claimants' 2016 design against the drawings the Respondents submitted via SPP in April 2017. The Claimants' expert categorically concluded: "I consider the SPP April 2017 design, submitted to Nakheel in March 2017, to be

entirely the same design produced by Al Anfal on behalf PRED in December 2016" (D73, p. 20). Deleting a consultant's name from a drawing title block and replacing it with another consultant's logo (SPP) is not a contractual misunderstanding; it is deliberate intellectual property theft designed to bypass attribution and conceal the true author from the regulatory authorities.

4. **Joint Expert Agreement:** Crucially, within the Joint Architectural Expert Report, the Respondents' own expert (Mr. Mark Phillips) conceded this fact. Both experts formally agreed that "the design submitted by SPP to Nakheel in April 2017 is essentially the same as the AAEC (Claimants') design albeit with minor differences" (D144, p. 5).
 5. **Submission of Design by NEB in 2018:** Following the wrongful termination of the Claimants in January 2018, the Respondents engaged a new consultant, NEB, to submit a design to Nakheel in late 2018. Rather than creating an independent design, NEB utilized the Claimants' proprietary spatial configuration. As verified by the Claimants' Expert, the NEB submission retained an 80% similarity in planning and configuration to the Claimants' original work.
 6. **Position under Intellectual Property Law DIFC Law No. 4 of 2019 (DIFC IP Law):** Under Article 34(1) and 34(2) of the DIFC IP Law, the transfer or assignment of copyrighted works (such as architectural designs) does not automatically transfer without a formally executed written assignment agreement specifying the rights being assigned. No such formal assignment document was ever executed in favour of the Respondents.
 7. **Superseding the DBC "Works for Hire" Clause:** The Respondents rely on DBC Clause 1.11 to claim automatic vesting of rights. However, as pleaded in the Statement of Reply, this general clause cannot override the mandatory protections of the DIFC IP Law absent clear, unequivocal assignment language. More critically, Clause 1.11 was expressly superseded by the Respondents' subsequent written agreement on 22 February 2017 confirming PRED retained the copyright (B4, p. 18).
 8. **Misuse of Proprietary/Confidential Work:** Applying the equitable principles analogous to those in *CF Partners (UK) LLP v Barclays Bank Plc* EWHC 3049 (Ch), a party cannot extract a commercial partner's proprietary work product (in that case, valuation models and technical reports; in this case, a 300-key VE design) and misuse it to advance their own independent commercial and financing interests to the exclusion of the creator (F10, p. 254, 259).
- H. **Issue 7: Whether the Respondents' counterclaim (seeking alleged liquidated damages for delay and the costs of engaging a replacement consultant, NEB) is maintainable under the parties' Agreements and DIFC Law?**

1. The Counter Claim was filed outside the mandatory DIFC limitation period:

- a. The Respondents allege that the Claimants breached the contract through defective performance and project delays leading up to the termination on 17 January 2018 (E131, p. 1).
- b. However, the Respondents only raised their counterclaim for the first time in these proceedings via their Statement of Defence and Counterclaim, which was formally filed on 17 September 2025. Meaning the counterclaim was filed more than seven and a half years after the alleged breaches and termination occurred. Under DIFC Law, the applicable limitation period for a breach of contract claim is strictly six years from the date the cause of action arose. Article 123(1) of the DIFC Contract Law (Law No. 6 of 2004) expressly mandates that "An action for breach of any contract must be commenced within six years after the cause of action has accrued". Article 22(1) of the DIFC Law of Damages and Remedies (Law No. 7 of 2005) also mirrors this strict 6-year limitation period.
- c. The Respondents cannot argue that the limitation period only began running later when their "damage crystallised" (i.e., when they hired NEB). A cause of action for breach of contract accrues at the date of the alleged breach, rendering the counterclaim entirely time-barred and unmaintainable.

2. Premised on an Invalid and Wrongful Termination:

- a. To claim the extra costs of completing the works and engaging NEB, the Respondents implicitly rely on the post-termination recovery regimes under the DBC and Clause 3.5 of the EOA.
- b. These specific provisions only apply where the contract has been validly terminated for default, such as under DBC Clause 15.2 or EOA Clause 3.4. The termination was procedurally and substantively defective for the reasons stated in the previous paragraphs.
- c. Because the strict contractual preconditions for a valid termination were not met, the Respondents cannot legally invoke the post-termination clauses to claim completion or rectification costs

3. The Prevention Principle Defeats Claims for Delay:

- a. The Respondents claim accrued damages for project delays. However, under Articles 78 and 86 of the DIFC Contract Law (embodying the Prevention Principle), a party may not rely on the non-performance of the other party to the extent that such non-performance was caused by its own act or omission.
- b. The Joint Expert Report on Quantum and Delay completely exonerates the Claimants. The Claimant's Quantum Expert confirmed that the Claimants "met its contractual obligations (final design pack submitted 21 Dec 2016)" (D147, p. 23).

- c. The Claimant's Quantum Expert definitively concluded that it was the "Respondents' obstruction and silence that caused all subsequent delays". The obstructions such as preventing the Claimants' consultant to submit design to Nakheel, refusing to pay the setback fees to Nakheel

4. The "Rectification" Claim is Factually Baseless

- a. The Respondents claim damages as a set-off for fees paid to a replacement consultant, NEB, to allegedly "rectify" the Claimants' "defective" design.
- b. This allegation of a defective design is a fabrication. The Joint design expert report evidence confirms the designs were well-developed and the minor non-compliances were easily resolvable (D144, p.14-15).
- c. More crucially, the Respondents did not pay NEB to rectify the design; they paid NEB to copy it. Following the termination, the Respondents submitted the Claimants' original design to Nakheel through NEB (B2, p. 24).
- d. As established by expert forensic comparison, the subsequent design submitted by NEB in 2018 is "quite similar to the Claimant's 300-key design submitted in 2017" (D144, p.5).

It is logically and legally impossible for the Respondents to maintain a counterclaim for damages based on a design being "unfit for purpose" while simultaneously submitting that exact same design to Nakheel for regulatory approval.

V. RELIEFS

Accordingly, the Claimants respectfully request that the Tribunal grant the following reliefs:

- i. A declaration that the Respondents' termination of the Earn-Out Agreement was wrongful, without lawful basis, and executed in bad faith.
- ii. A declaration that the Claimants were improperly excluded from the YOTEL Palm Jumeirah Project and are entitled to compensation reflecting the value of their contractual rights under the Earn-Out Agreement and contributions under the Design and Build Contract.
- iii. An award of damages for wrongful termination and loss of contractual entitlements, including:
 - a. AED 150,000,000 in respect of lost profits under the Earn-Out Agreement arising from the Respondents' wrongful prevention of performance;
 - b. AED 18,481,500 in respect of loss of commercial opportunity and unrecovered overheads resulting from Respondent-caused prolongation;
 - c. AED 37,800,000 in respect of unjust enrichment derived by the Respondents from leveraging the Claimants' position under the Earn-Out Agreement and related financial arrangements; and
 - d. AED 1,005,000 in respect of compensation for work performed and development contributions (Earned Value) as at the date of termination.

- iv. An order that the Respondents pay the Claimants' legal costs, arbitration costs, and all associated costs incidental to these proceedings with interest, on the basis that costs follow the event.
- v. Interest on all sums awarded, at such rate and from such date as the Tribunal considers appropriate.

Respectfully Submitted

ATB Legal

05 May 2026